



Cambridge International AS & A Level

ECONOMICS

9708/32

Paper 3 A Level Multiple Choice

February/March 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Any blank pages are indicated.

- 1 A person buys two pairs of socks.

What does the purchase of the second pair of socks lead to?

- A a decrease in marginal productivity → associated with labour input
 B a decrease in marginal utility (law of diminishing marginal utility)
 C an increase in marginal productivity associated with labour input
 D an increase in marginal utility, doesn't apply to utility theory, see reason of option B

- 2 What does an indifference curve show?

- A the amount of two products achievable with given income and prices (definition of Budget line)
 B the different combinations of two goods that give a consumer equal utility Total utility is same, MV changes, so correct.
 C the income available to buy the two goods related to Budget line
 D the rate at which marginal utility changes as consumption changes

→ MV does change, but it doesn't show the rate at which MV changes

- 3 The table shows the total amount consumers are willing to pay for different quantities of good X and the total external benefits that arise from the consumption of X.

quantity of good X (000 units)	consumers' willingness to pay (\$000)	total external benefits (\$000)
1	100	20
2	180	38
3	240	54
4	280	68
5	300	80

$$SB = PB + EB$$

$$\begin{matrix} 348 \\ 380 \end{matrix} \quad] \quad MSB = 32$$

What is the value of the marginal social benefit when 5000 units are consumed?

- A \$12 000 B \$32 000 C \$80 000 D \$380 000

A production function shows a relationship ³ between a firm's inputs and outputs.

- 4 The statement and the table provide information about a production function.

The production function represents the amount of ^{output}1..... obtainable from each combination of2..... and can be used to give information about3.....
^{inputs} ^{returns to scale}

Which words correctly complete gaps 1, 2 and 3?

	1	2	3
A	demand	labour	returns to scale
B	demand	labour	normal profit
C	output	inputs	returns to scale
D	output	inputs	supernormal profit

competition ↓
inelastic

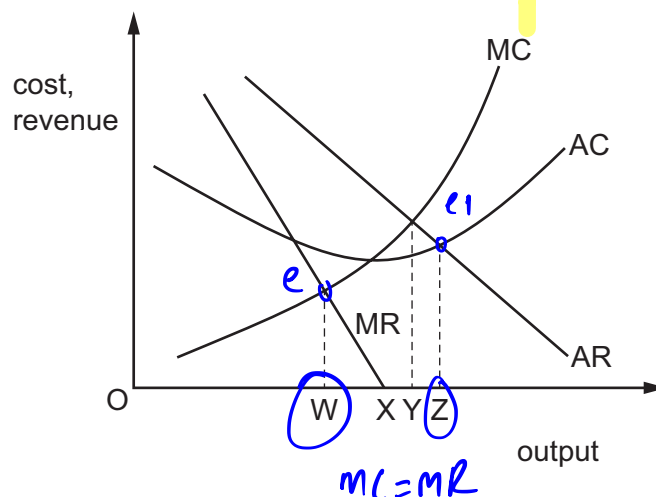
- 5 Two firms selling the same type of product find it more efficient to merge.

Which combination describes how the merged firm's average costs of production and demand curve are expected to change?

	average costs	demand curve
A	fall ✓	more elastic
B	fall ✓	more inelastic ✓
C	rise	more elastic
D	rise	more inelastic ✓

large scale
monopolist inefficiency ↓
average cost ↓

- 6 The diagram shows the costs and revenues of a firm operating in an imperfect market.



The firm is currently producing at the profit maximising level of output. It wishes to produce at the sales maximising level of output.

What would be the change in its output?

- A OW to OX B OW to OY C OW to OZ D OY to OZ

↳ $MR=0$

sales revenue
maximization

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Allocative ($MC = \text{price}$)

NO

↳ OY (is allocative)

Significantly large firms, External economies of scale
Small firms

7 In which market structure is dynamic efficiency least likely to occur?

- A oligopoly, supernormal profits, can reinvest
- B monopolistic competition, some power with firms, product differentiation
- C monopoly, supernormal profits, can reinvest.
- ✓ D perfectly competitive, 1000s of firms, product standardization, normal profit in long run, perfectly elastic demand

8 Which type of employment contract is most likely to overcome the principal agent problem?

- A increasing monthly salaries of waiters in a restaurant to decrease their dependence on tips from customers
- ✓ B linking workers' pay with the profits of the firm to motivate them to raise the profitability of the firm
** linking with profits leads to target of profit max, benefiting the shareholders*
- C making full fee payment in advance to a lawyer to motivate him to prepare a legal case well
- D offering permanent contracts to give workers job security

option A, C, D doesn't relate to the issue of principal agent problem

9 Company R manufactures steel. Company S produces ships. Company T operates oil tankers. Company V operates cruise liners.

Which statement is correct?

- ✓ A If R takes over S, this is an example of forwards vertical integration. *Manufacturing to service* Correct
- B If S takes over V, this is an example of backwards vertical integration. *Oil tanker are not part of primary industry*
- C If T takes over S, this is an example of diversification. *(distinct products)*
- D If V takes over S, this is an example of horizontal integration. *This means same stage, same industry.*

This represents vertical integration.

10 There are two firms in an industry. Firm X faces a choice. It can either act independently or work with its rival. If it acts independently its profit could be \$900 a week but it could be only \$400 a week depending on what its rival does. If it works with its rival the joint profit of the two firms together would be \$1400, \$700 each. It has no knowledge of what the rival's policy will be.

Which concept describes this situation?

- A contestable market *(potential threat of competition, covered under monopoly's objectives PDF)*
- B kinked demand curve *(part of oligopoly, non-collusive, rigidity, stickiness)*
- C principal agent problem *(Shareholder vs manager) (divorce of ownership and control)*
- ✓ D prisoner's dilemma *(game theory, pay off matrix, Nash Equilibrium)*

Company T is acquiring company S to control the production of ships, which is a crucial input for its oil tanker operation

Doesn't impact price, provides awareness, long term effect, doesn't guarantee

5

- 11 A government wishes to use market forces to remove a negative externality in the consumption of a good.

Which policy is likely to be the most effective?

- A It should provide information about the undesirable side-effects of the good.
- B It should give producers a subsidy, to allow consumers to purchase the product more cheaply. *Consumption ↑, -ve externality ↑*
- ✓ C It should impose an indirect tax on consumers, to reduce consumption to the socially efficient level. *Cost ↑, Supply ↓, $MPC + Tax = MSC$, socially optimum ($MSB = MSC$)*
- D It should not interfere at all, to allow the free market to generate maximum efficiency.

↳ -ve externality will exist.

- 12 A government decides to replace a private company with its own company to collect household waste.

Why could such action be justified?

- A Waste collection is a public good. *It isn't, public good (Non-rival, Non excludable)*
- B Costs of waste collection are bound to be lower if paid out of local taxes. *No guarantee of cost being lower.*
- C Private companies are always less efficient than government companies.
- ✓ D Private companies might put profits before customer needs.

↳ correct, objective is profit, their incentive

↳ Normative statement, same as option B. More likely private companies are more efficient.

- 13 What is a failure of government microeconomic intervention?

- A An indirect tax equal to external costs is imposed on cigarettes and the demand falls. *Success,*
- Success ← B Limits are placed on a trade union's restrictions that increase labour mobility. *$MPC + EC = MSC$, so $MSB = MSC$.*
- Success ← C Price controls on bread are removed which allow a free market to operate.
- ✓ D Tariffs are imposed on imported goods which cause the Gini coefficient to increase. *price mechanism*

↳ correct Trade Balance

MRP

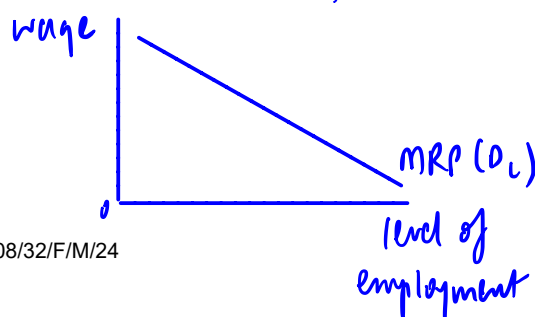
↳ represents inequality

- 14 What would shift the marginal revenue product curve for workers producing electric vehicles to the right?

- A a decrease in the price of petrol vehicles, $D↑$ (petrol vehicles), $D↓$ (electric vehicles), $MRP↓$
- B a decrease in the productivity of electric vehicles workers *Productivity ↓, $MRP↓$*
- ✓ C an increase in the price of electric vehicles, *Signal to producers, extend Q , more workers required, Demand ↑ i.e. $MRP↑$*
- D an increase in the wage rate of electric vehicles workers

↳ wage factor, movement

$$* MRP = MP \times MR$$



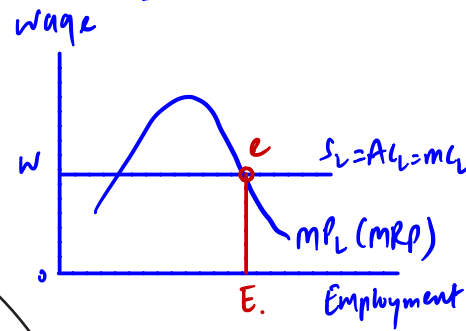
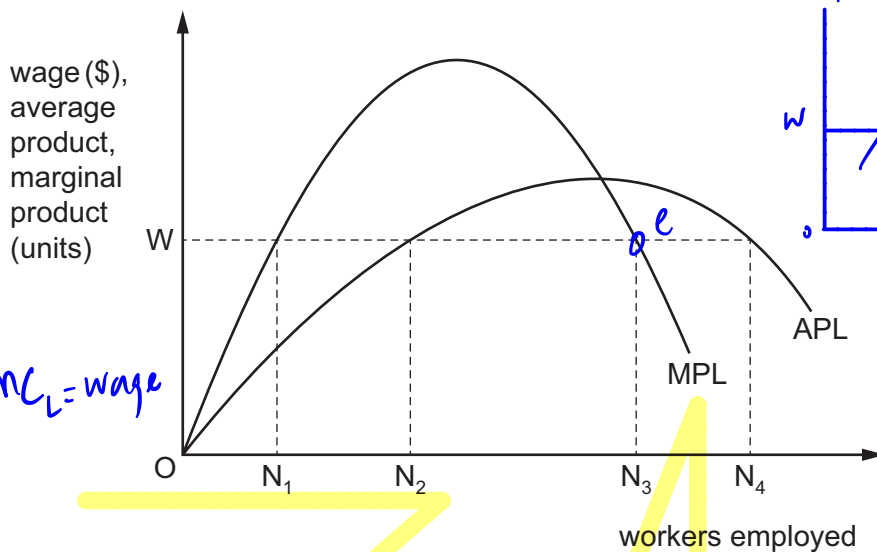
[Turn over

Benefits the industries
Economic growth
Rich gets richer
Inequality ↑
failure!

- 15 The diagram shows a perfectly competitive firm's average product of labour (APL) and marginal product of labour (MPL) curves.

Profit maximizing level of employment.

$MRP = MC_L$, in perfect competition $MC_L = \text{wage}$
 $* MRP = MP_L$



How many workers will the firm employ at a wage of W? $MRP(MP_L) = \text{wage}$

- A ON_1 B ON_2 C ON_3 D ON_4

Liquidity Preference

- 16 Which change is likely to result in a decrease in the demand for money?

- A a decrease in the use of credit cards by consumers, demand for holding cash $\uparrow$, $md \uparrow$
 B a switch from monthly to weekly payments of wages, frequency of payment $\uparrow$, $md \downarrow$
 C a decrease in interest rates, save $\downarrow$, spend $\uparrow$, Transactionary demand for money $\uparrow$
 D an increase in the perceived risks involved in holding government bonds

$\hookrightarrow$ more risk in bonds, so holding more cash, $md \uparrow$ fall in demand of an industry

- 17 Which combination of factors is most likely to lead to a decrease in structural unemployment?

- A a fall in inflation and an increase in lending for low income households, lending $\uparrow$, $C \uparrow$, $AD \uparrow$
 B a fall in real wages and an increase in subsidies for technological improvements, demand deficient $\downarrow$
 C an increase in tariffs and lower taxes for new businesses, capital intensive, unemployment $\uparrow$
 D the introduction of a national minimum wage and better working conditions, Min wage, surplus of workers, unemployment $\uparrow$

real wage $\downarrow$, purchasing power fall NAIRU: Frictional, Seasonal, Structural

- 18 Why might country X have a higher natural rate of unemployment than country Y?

- A There is a higher level of trade unionisation in X. Trade union power can result in unemployment. Keeping wages above equilibrium, real wage
 B There is more training and education in X. reduces structural unemployment unemployment
 C There are greater incentives to find work in X. reduces frictional unemployment
 D There is a higher level of job vacancy information in X. reduces frictional unemployment

part 'c':

Tariff helps infant, declining and Strategic industry, reducing structural unemployment
 lower taxes, new businesses, new jobs, structural unemployment $\downarrow$

- 19 Over the period of a year, nominal national income increased by 2%, inflation was 3% and population increased by 1%.

Which statement is correct?

$$\text{Real income} = \text{Nominal income} - \text{inflation} \\ = 2 - 3 = -1\%$$

- ✓ A Real income decreased by 2% per head.
 B Real income increased by 1% per head.
 C Real income increased by 4% per head.
 D There was no change in real income per head.

$$\text{per capita income growth} = \text{Real income growth} - \text{population growth} \\ = -1 - 1 = -2\%$$

cost push

- 20 What is likely to be the most effective policy to reduce inflation caused by a rapid rise in import prices?

- A a decrease in the domestic rate of interest $R \downarrow, C \uparrow, I \uparrow, AD \uparrow, AD \uparrow > AS: \text{Price} \uparrow$
 B a decrease in the rate of income tax $\text{Tax} \downarrow, C \uparrow, I \uparrow, \text{same as above}$
 C an increase in trade tariffs on imports $\text{Expenditure switching policy}, M \downarrow, C \uparrow, AD \uparrow, P \uparrow$
 ✓ D a revaluation of the exchange rate $\text{Appreciation}, X \uparrow, M \downarrow, \text{Trade deficit}, AD \downarrow$
 $\hookrightarrow \text{raw material cost} \downarrow, AS \uparrow, P \downarrow$

- 21 Which macroeconomic policy objective will not apply to a government in a closed economy?

- A achieving a low and steady rate of inflation $\text{Tax} \uparrow, G \downarrow$
 B achieving a more equal income distribution $\text{Tax} \uparrow$
 ✓ C achieving a surplus on the balance of payments (can't, no X and M)
 D achieving a sustainable rate of economic growth $G \uparrow$

All other can be achieved through Government policies

- 22 A government increases its budget deficit to spend money on infrastructure development. It finances this by printing money. $G \uparrow, \text{Tax} \downarrow$

How is this policy likely to affect the government's main macroeconomic policy objectives?

leads to inflation

	higher economic growth	lower unemployment	lower inflation
A	less likely	less likely	more likely
B	less likely	more likely ✓	less likely ✓
✓ C	more likely ✓	more likely ✓	less likely ✓
D	more likely ✓	more likely ✓	more likely

$G \uparrow, AD \uparrow,$
growth

$AD \uparrow$
output ↑
unemployment ↓

printing money,
too much money chasing too few goods
 $AD \uparrow > AS: \text{price} \uparrow$

$R \uparrow, AD \downarrow, \text{price} \downarrow$

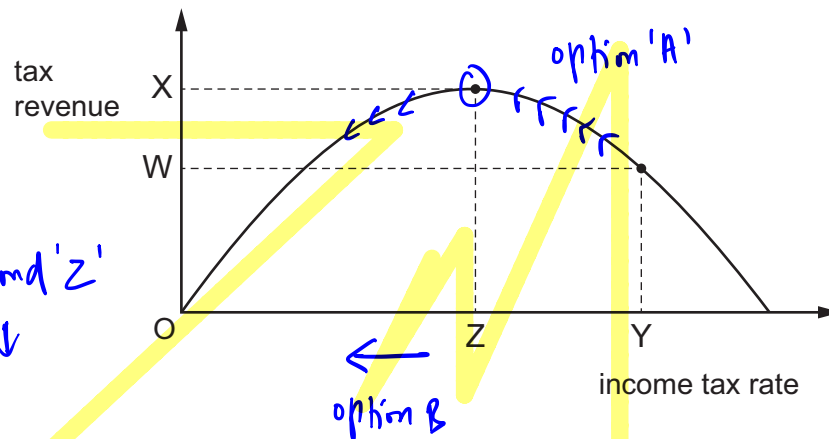
23 The government increases interest rates in order to reduce the rate of inflation.

What will also result from this action?

- A a depreciation of the country's currency $R \uparrow, FDI \uparrow, \text{Demand} \uparrow, ER \uparrow, \text{Appreciate}$
- B a fall in the level of savings $R \uparrow, \text{reward on savings}, \text{save} \uparrow$
- ☒ C a reduction in economic growth $AD \downarrow, \text{output} \downarrow, \text{growth} \downarrow$
- D a reduction in unemployment $, AD \downarrow, \text{output} \downarrow, \text{unemployment} \uparrow$

24 The diagram shows the relationship between the income tax rate and tax revenue.

Laffer curve.



Which statement is correct?

- A A tax rate cut from Y to Z will cause tax revenue to decrease. *increase*
- B At tax rates below Z a tax rate cut will cause tax revenue to increase. *decrease*
- ☒ C The greater the rate of tax beyond Z, the smaller will be the tax revenue generated.
- D Tax revenue will always increase as the rate of income tax increases. *Wrong, Only 0 - Z Yes*

25 In which situation is devaluation of the currency most likely to cause inflation?

- A Excess capacity is available. *Devaluation, X price $\downarrow$, X (TR) $\uparrow$, AD $\uparrow$, capacity available, supply meets demand.*
- B Import tariffs are reduced. *Import tariffs reduced*
- ☒ C Local substitutes of imported raw materials are unavailable. *m price $\downarrow$, m quantity $\uparrow$, m (TR) $\uparrow$, AD $\downarrow$*
- D The demand for exports is price inelastic. *Devaluation, X price $\downarrow$, Inelastic, X (TR) $\downarrow$, AD $\downarrow$*

*Devaluation, m price $\uparrow$
Imports: Inelastic
m (TR) $\uparrow$, cost $\uparrow$, AS $\downarrow$
Inflation*

26 A country imports most of the raw materials used as factor inputs.

Which policy is most likely to control cost-push inflation?

- ☒ A an appreciation of the exchange rate, *Appreciation, M^d price $\downarrow$, inflation $\downarrow$, $M(\text{IE}) \downarrow$, cost $\downarrow$, AS $\uparrow$*
 - B an increase in the rate of income tax
 - C an increase in the rate of interest
 - D an increase in the rate of sales tax, *cost $\uparrow$, AS $\downarrow$, inflation.*
- Contractionary fiscal and monetary policy, controls demand pull inflation*

27 Germany, one of the world's strongest trading nations, achieved a surplus on current account of the balance of payments in 2021–2022.

Which income flow would not have been included in the calculation of Germany's current account?

- A Declining sales of German cars for export overseas. *Trade Balance*
 - B Falling earnings of foreign exchange from visitors to Germany. *Primary income*
 - C Increasing transfers of aid to less developed countries. *Secondary income*
 - ☒ D Investment in a natural gas pipeline link to its main foreign supplier. *Financial account, not part of current account.*
- Part of current account.*

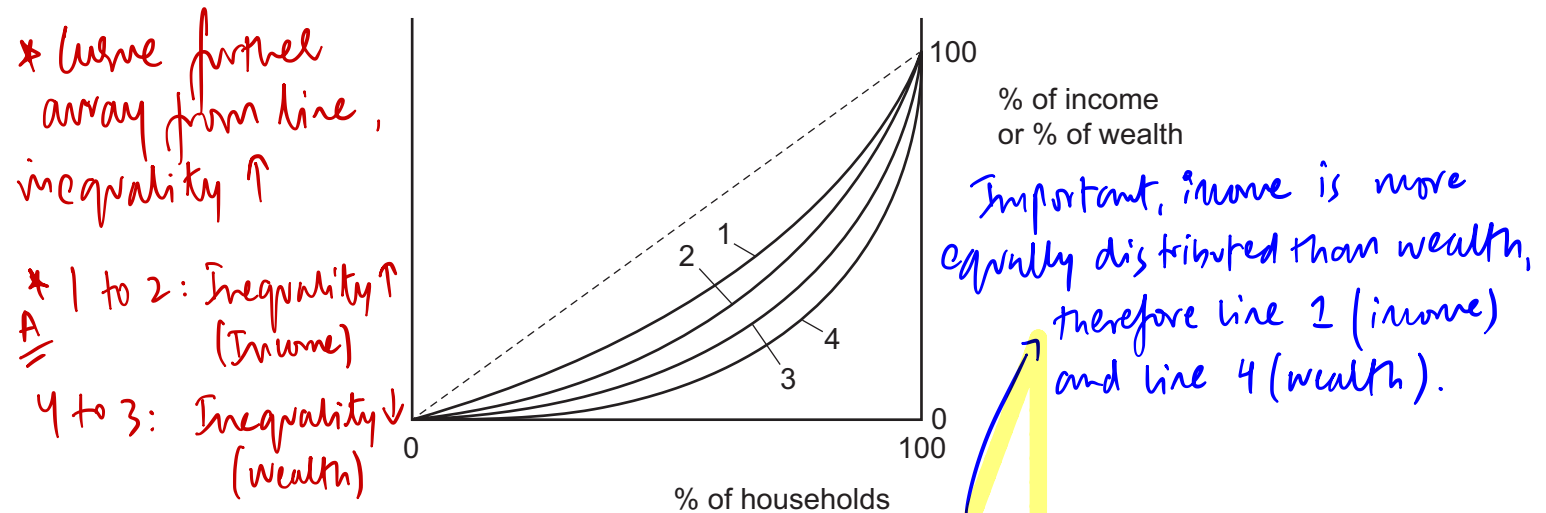
28 A country maintains its foreign exchange rate against the United States dollar, within a narrow but changing band. *(Managed float)*

What is this type of exchange rate?

- A fixed *(fixed rate set)*
- B floating *(Demand and Supply)*
- ☒ C managed float *(Between band) (upper and lower limit)*
- D trade-weighted

*(b) Not a type of exchange rate
→ proportion of trade between countries.*

29 The Lorenz curves in the diagram show different distributions of income and of wealth.



(At first, income in a country is more equally distributed than wealth.)

In a period, the distribution of income becomes more unequal but the distribution of wealth becomes more equal.

Which movement would show the effects of these changes on the distribution of income and wealth within the country?

	distribution of income	distribution of wealth
A	shift from curve 1 to curve 2	shift from curve 4 to curve 3
B	shift from curve 2 to curve 1	shift from curve 3 to curve 4
C	shift from curve 3 to curve 4	shift from curve 2 to curve 1
D	shift from curve 4 to curve 3	shift from curve 1 to curve 2

B// : 2 to 1 :
Inequality ↓,
Wrong, as income
inequality ↑

D// : 4 to 3 :
Inequality ↓, wrong,
as income inequality ↑

Read the first statement "At first"

30 What is likely to happen in a developing country as it becomes more developed?

A A lower percentage of people will go to university. higher %

B Average life expectancy will rise.

C The rate of population growth will increase. rate decreases (low birth rate)

D The tertiary sector will decline in importance. service sector importance ↑,
primary and secondary
importance ↓

Better access to
health and education,
life expectancy ↑.